

Prediction Markets: Sizing the TAM

Methodology overview

We size the prediction-market opportunity across three categories: **sports**, **crypto**, and **economics, politics, financials, etc.** Each requires a distinct TAM anchor, because the comparable pool of displaceable volume differs by category. Our thesis is that retail enters through sports – given its inaccessibility and, in many jurisdictions, its illegality – but that the non-sports categories grow in prominence over time and account for most of the total volume. The methodology below builds the TAM bottom-up for each.

1. Sports – the entry point

We anchor the sports TAM to the **US sports-betting handle of ~\$165bn in 2025**. We deliberately use the US handle rather than a global figure: global handle is very difficult to use given the lack of consistent reporting and the scale of informal and grey-market betting outside regulated jurisdictions. The US number is clean, regulator-filed, and conservative.

Critically, this \$165bn is generated despite legal online/mobile sports betting operating in only ~32 states – California and Texas, the two largest states, remain unregulated. This gap is what drives retail to prediction markets. Sports prediction markets, operating as federally regulated (CFTC) event-contract exchanges, can offer the same exposure in all 50 states, reaching the large pools of demand that state-by-state betting law leaves stranded – and the structural advantages do not stop at reach:

- **Regulatory reach.** A single federal framework preempts the state-by-state patchwork. The same contract is available nationwide, including in the largest prohibited markets, and is not gated by individual state licensing regimes.
- **Exchange, not a house.** Participants trade against each other on an order book rather than against a bookmaker's built-in margin. Removing the house edge can deliver retail better effective pricing than a traditional sportsbook line.
- **Continuous tradability.** A position can be entered and exited at any point before the event resolves, allowing a user to lock in a gain, cut a loss, or hedge mid-event – something a one-shot wager cannot do.

The same illegality-and-inaccessibility dynamic holds globally, where sports betting is banned or tightly restricted across many jurisdictions and informal markets fill the gap. This is precisely why we expect retail to arrive first through sports: it is the most familiar, highest-visibility use case, and prediction markets reach demand that the incumbent betting structure cannot.

Handle vs. prediction-market volume. The two are not directly comparable, and the distinction matters. **Handle** is the gross

amount staked – a one-directional wager that is placed and then settles. *Prediction-market volume* is traded notional on a continuous secondary market: a position can be bought and sold many times before the event resolves, and each transaction prints volume. A single dollar of conviction can therefore generate several dollars of volume, which is why prediction-market volumes can exceed handle even at a smaller base of underlying participants.

On that basis, sports prediction-market volumes are already tracking at **~\$200bn** this year, surpassing the entire US handle for last year. We expect these volumes to grow at a **[xx]% CAGR** over 10 years (2025–35E). But sports is the entry point, not the main category: we expect its share of total prediction-market volumes to fall from **[xx]%** in 2025 to **[yy]%** by 2035E as the other categories scale.

2. Crypto – the fastest-rising share

Crypto's share of prediction-market volumes is already growing, rising from **[xx]%** in 2025 to **[xx]%** in 2026–YTD. We model crypto prediction-market volumes as a percentage of **spot crypto volumes**, rising from **[xx]%** in 2025 to **[xx]%** in 2035, a **[yy]% CAGR** over 10 years (2025–35E) – representing **[xx]%** of total prediction-market volumes by 2035E.

The structural pull is that crypto event contracts give retail a cleaner, more capital-efficient way to take a crypto view than either spot or leveraged derivatives:

- **Defined, capped downside.** The most a user can lose is the premium paid for the contract. There is no liquidation engine, no margin call, and no funding rate – a sharp adverse price move cannot force the position to close at a larger loss, as it can with a leveraged perpetual or futures trade.
- **A precise, time-boxed view.** Rather than continuous exposure to the magnitude of every price move, the user trades a single bounded question – whether a defined level is reached by a defined date. The path no longer matters, only the outcome at expiry.
- **No custody or infrastructure burden.** No wallet, private-key management, stablecoin conversion, or on-chain gas is required to express the view; cost and payoff are known at entry.
- **Downside access that spot lacks.** Shorting is largely inaccessible to retail in spot crypto. A holder can instead buy a downside contract as a cheap, defined-cost hedge against their spot book. For example, a user holding Bitcoin at **~\$100,000** who is worried about a near-term drop can buy a "Will Bitcoin fall below **\$90,000** this month?" contract for, say, **\$0.20**. If Bitcoin falls through **\$90,000**, the contract pays **\$1.00** – a 5x return that offsets part of the loss on their holdings; if it does not, they lose only the **\$0.20** premium. The same structure also earns in flat, sideways markets – for instance, selling a "Will Bitcoin exceed **\$120,000** this month?" contract pays out if the price simply fails to break higher – whereas a directional spot trader needs the price to actually move to profit.

- ****Price as probability.**** The contract price reads directly as the market-implied odds of the outcome, giving retail a transparent, intuitive instrument rather than one requiring options-pricing fluency.

These advantages are most acute around discrete, datable crypto events – price thresholds, ETF decisions, network upgrades, halving-related milestones – where a binary, fixed-deadline structure fits far better than open-ended spot or perpetual exposure.

3. Economics, politics, financials, etc. – the largest category over time

The economics, politics, and financials category accounts for ****[xx] % of prediction-market volumes in 2025****. We expect it to become the most dominant category over time, for three reasons.

****Access to exposures that otherwise do not exist.**** Prediction markets open up macro, rates, and policy exposures that no retail-accessible instrument cleanly replicates. A user can take a position on the level of SOFR or the federal funds rate after a specific FOMC meeting, on a CPI or PCE print, on payrolls, GDP, the unemployment rate, or the probability of a recession. For many of these variables there is simply no liquid, retail-tradable derivative anywhere else. On the political side, the same is true of election and policy outcomes: a discrete political or regulatory risk can be traded directly, rather than through a noisy and imperfect proxy.

****Elimination of basis risk.**** The category lets a user trade the exact variable they have a view on. For example: a user who believes a carmaker will beat on quarterly deliveries can trade a contract on the delivery number itself – without taking a view on the stock, which is driven by many other factors (guidance, margins, rates, broad sentiment). The event contract isolates the thesis; the equity does not. The same logic lets a clean-energy investor hedge a specific regulatory outcome, or a tech-heavy portfolio hedge a specific antitrust or policy event, directly rather than through correlated instruments that may not move when the event actually lands.

****Defined risk and an intuitive format.**** Every contract is a binary yes/no on a named, pre-specified resolution source, settling at \$1 or \$0. The price paid is the entire cost of the position and also the maximum possible loss – there are no margin calls and no exposure beyond it. A trader who thinks the market is over-pricing a Fed hike, for example, can simply buy the "no" contract; shorting Treasury or Fed funds futures needs less cash upfront – only initial margin – but carries mark-to-market margin calls and losses that can exceed that margin. The trade-off is therefore certainty rather than leverage: under the current fully-collateralised model the buyer posts the full contract price, so the benefit today is a known, capped cost rather than a smaller upfront outlay (genuine capital efficiency relative to futures arrives once margin trading is introduced – see catalysts below). That simplicity and certainty

also lower the complexity barrier for participants who find futures and options – with their margin, leverage, and Greeks – too involved, while still serving genuine hedging and price-discovery functions.

Penetration methodology. We anchor this TAM to retail trading in traditional instruments – retail CFDs, derivatives, and retail equity volumes across the major financial hubs (excluding China and India) – and we assume **2%** of these volumes are penetrated by prediction markets. The TAM appears very, very high because retail traditional volumes are measured on a notional basis, and the heavy use of leverage and margin on futures and options inflates that notional enormously. As a result, even a 2% penetration of that pool implies prediction-market volumes in this category of **~\$25tn by 2035E**, growing at a **[xx]% CAGR** over 10 years (2025–35E). As set out above, the structural advantages over traditional instruments – unique access, the elimination of basis risk, and defined risk with a known, capped cost – are precisely what we expect to drive that penetration.

4. Institutional adoption – concentrated in economics, politics and financials

We expect institutions to become significant participants in prediction markets, with adoption concentrated in the economics, politics and financials category rather than in sports or crypto. Sports contracts are largely a retail product with limited institutional hedging use, and in crypto institutions already have deep spot, futures and options venues for exposure. It is the third category – where the underlying risks are real, event-driven and often hard to hedge elsewhere – that draws professional capital.

Why institutions adopt. We see four core reasons:

- **Direct hedging of event risk with no basis risk.** Traditional instruments hedge specific event risk bluntly, if at all. A portfolio manager worried about a single FOMC decision, a data print, a piece of legislation, or an election outcome can hedge exactly that risk with a contract that references the variable itself – so the hedge pays on the event rather than on a correlated proxy across rates, equities or FX that may not move when the event lands. This makes prediction markets a cleaner hedge for political, regulatory and macro-event risk than what is otherwise available.
- **A new, uncorrelated return stream.** Beyond hedging, event outcomes are largely uncorrelated with equity and bond beta, so for hedge funds and proprietary desks the contracts are a diversifying source of return in their own right – a venue to express informed views and exploit mispricings rather than only to offset existing exposure.
- **Capital efficiency.** As margin replaces the legacy fully-collateralised model, institutions can express the same view while posting only a fraction of notional – bringing event contracts into line with how they already use futures and options, and freeing capital for the rest of the book.

- ****A regulated venue and a continuous signal.**** A federally regulated (CFTC) exchange clears the compliance bar that rules out unregulated venues, while the continuously updating, market-implied probability the contracts generate is itself valuable to institutions as a real-time input to risk and research.

****Sizing the institutional share.**** By 2035, we expect institutional flow to form ****[xx]% of total prediction-market volumes****, and ****[yy]% of non-sports, non-crypto volumes****. Crypto on regulated venues is a useful comparison: on Coinbase, institutions now account for roughly 80% of trading volume, up from under a fifth in 2018 – institutional flow has come to dominate trading there over the course of a decade. We expect the economics-politics-financials segment to follow a similar direction of travel, with retail building the early liquidity and institutions accounting for a growing share of volume over time.

****Activity to date.**** Institutional trading is still early, but the first concrete block trades have already printed on both major venues, and both were genuine hedges rather than speculation:

- ****Kalshi (April 2026)**** cleared the category's first institutional block trade – a six-figure ticket brokered by Greenlight Commodities, with Jump Trading as liquidity provider, for a Houston-based environmental hedge fund hedging California carbon-allowance pricing.

- ****Polymarket (June 2026)**** followed with the first on-chain institutional block trade – a six-figure transaction between prime broker FalconX and AI-risk clearinghouse AneraLabs, hedging Nvidia H100 GPU compute-rental costs against the Ornn Compute Price Index, settled on Polygon. FalconX is to act as a dedicated market-maker for future block trades.

- ****Galaxy Digital**** launched an institutional OTC prediction-markets desk – acting as a principal counterparty so institutions can trade in size and with discretion off the public order book – covering non-sports contracts on both Kalshi and Polymarket. At launch it executed a ~\$10m trade on Kalshi with crypto-native hedge fund Arca tied to the outcome of the CLARITY Act (US digital-asset market-structure legislation).

These are small tickets, but the pattern is the point: across both a CFTC-regulated exchange (Kalshi) and a crypto-native on-chain platform (Polymarket), trades were brokered through institutional intermediaries (Greenlight, Jump, FalconX, Galaxy) and used by funds to hedge real, specific exposures – carbon pricing, compute costs, legislative outcomes – that listed instruments cover poorly or not at all. Institutional volume more broadly has scaled rapidly over the past year, with participants citing hedging as the main driver, even as most flow today remains retail.

****Illustrative use cases by risk type.**** Put in the position of an institution, the natural applications cluster around risks that are binary, event-dated and poorly served by listed instruments:

- ****Monetary-policy and rates risk.**** A fixed-income desk hedges an FOMC surprise – a hold where it is positioned for a cut, or vice versa – directly through a rate-decision contract, with defined risk and a payoff tied to the decision itself rather than to the broader move in Fed funds or Treasury futures.
- ****Legislative and regulatory risk.**** A fund hedges the passage or failure of a specific bill – for example, a pharma fund hedging drug-pricing legislation, or an energy fund hedging a permitting or emissions rule – directly, rather than through equities that also carry unrelated risks. (The Galaxy-Arca CLARITY Act trade above is a live instance of exactly this.)
- ****Corporate-event and deal risk.**** A merger-arbitrage desk hedges whether a pending acquisition clears antitrust review; a sector fund hedges a specific regulatory ruling that would re-rate its holdings.
- ****Election and political risk.**** An asset manager hedges an election or policy outcome that would reprice an entire sector – energy, healthcare, financials – without having to pre-position in the equities themselves.
- ****Catastrophe, weather and operational risk.**** An insurer or energy firm hedges hurricane landfall, a named-storm count, or an extreme-temperature reading as a cat-risk proxy; an agricultural firm hedges a USDA crop report.
- ****Macro-tail and geopolitical risk.**** A multi-asset fund hedges a government shutdown, a tariff decision, a sovereign event or a geopolitical flashpoint – risks for which no clean listed instrument exists.

****Catalysts that accelerate institutional adoption.**** The infrastructure required to scale institutional participation is being assembled now:

- ****Margin and leverage.**** Kalshi has taken the first step toward offering margin by registering an affiliated futures commission merchant (Kinetic Markets, NFA-registered as an FCM in March 2026), which would move it beyond the fully-collateralised model. Margin is not yet live – final CFTC sign-off on partially-collateralised trading is still pending – but the stated plan is to make it available to institutions first, and it is the single biggest step in making event contracts capital-comparable to futures and options.
- ****OTC desks for size, discretion and custom contracts.**** Galaxy Digital has launched an institutional OTC prediction-markets desk through its Global Markets unit, acting as a principal counterparty that can warehouse risk, execute in size, and pair event positions with equity and commodity hedges – covering non-sports contracts on Kalshi and Polymarket. Wintermute is quoting two-sided markets in event contracts to deepen liquidity, and BitGo Prime has partnered with Susquehanna Crypto to offer institutional OTC access. These desks let institutions trade at block size, off-exchange, and structure customised hedges that the central order book cannot support.
- ****Prime-broker, clearing and execution integrations.**** Clear Street has become the first institutional FCM on Kalshi's exchange; FIS is building clearing connectivity; Trading Technologies is extending its execution and algorithmic toolset (used by Tier-1

banks, hedge funds and proprietary traders) to Kalshi; and Interactive Brokers has integrated event contracts alongside equities, options and futures. This plumbing resolves the chicken-and-egg problem – without professional tools institutions cannot deploy at scale, and without that capital the market lacks the liquidity to attract them.

– **Market-making liquidity and data distribution.** Dedicated market-makers posting continuous two-sided prices tighten spreads and support larger trade sizes, while distribution of prediction-market data through institutional channels (for example, Tradeweb) embeds the market-implied probabilities into the workflows institutions already use – both of which raise the reliability of the signal and lower the cost of participating.

Taken together, these developments move the category from a mainly retail product towards institutional-grade infrastructure, which supports our expectation that institutional participation in the economics-politics-financials segment increases over the forecast period.

Conclusion

This is our broad TAM framework: sports as the high-visibility entry point that brings retail in; crypto as the fastest-growing share near term; and economics, politics and financials as the largest category on a notional basis and the main driver of long-run volumes. Retail enters through sports, but most of the growth comes from economics, politics and financials.